

Sop Fraud Alert

****Document Title:**** Enterprise Retail Standard Operating Procedure: Retail Fraud Alert Handling

****Version:**** V1.0

****Covers:**** This Standard Operating Procedure (SOP) outlines the guidelines and step-by-step procedures for all retail personnel, E-commerce operations teams, and Loss Prevention (LP) departments when responding to and resolving potential fraud alerts across all sales channels (in-store, online, mobile, and omnichannel fulfillment). Its primary objective is to minimize financial losses due to fraudulent activities, protect company assets, safeguard customer data, maintain customer trust, and ensure compliance with relevant regulations and payment processing standards.

SECTION 1 — OVERVIEW

****1.1 Purpose****

The purpose of this SOP is to provide a standardized, clear, and efficient framework for identifying, investigating, and resolving retail fraud alerts. By adhering to these procedures, [Company Name] aims to mitigate financial exposure, reduce chargeback rates, prevent reputational damage, and foster a secure shopping environment for our customers. This document serves as a critical reference for ensuring consistent and effective fraud management across the entire enterprise.

****1.2 Scope****

This SOP applies to all employees involved in sales, order fulfillment, customer service, and loss prevention functions across all [Company Name] retail operations, including:

- * Physical brick-and-mortar stores
- * E-commerce platforms (website and mobile app)
- * Buy Online, Pick Up In-Store (BOPIS) / Click & Collect services
- * Ship-from-Store operations
- * Customer Service interactions related to orders and accounts
- * Returns, Exchanges, and Refunds processes

****1.3 Objectives****

- * To establish a consistent approach to fraud alert handling.
- * To minimize financial losses incurred from fraudulent transactions and chargebacks.

- * To protect customer payment and personal data from malicious actors.
- * To ensure compliance with payment card industry (PCI-DSS) standards and other relevant legal requirements.
- * To maintain a positive and secure customer experience.
- * To empower staff with the knowledge and tools to effectively combat retail fraud.

****1.4 Key Stakeholders****

Effective fraud alert handling requires collaboration across multiple departments:

- * ****Loss Prevention (LP):**** Overall oversight, policy enforcement, advanced investigations, law enforcement liaison.
- * ****E-commerce Operations:**** Management of online fraud detection systems, order review, digital transaction analysis.
- * ****Store Operations (Store Managers & Associates):**** In-store transaction monitoring, BOPIS verification, physical security.
- * ****Customer Service:**** Customer contact, account verification, dispute resolution.
- * ****Finance Department:**** Chargeback management, reconciliation, financial reporting of losses.
- * ****IT Department:**** System security, fraud detection software maintenance, data analytics support.

SECTION 2 — COMMON CAUSES

Retail fraud alerts can originate from various activities and indicators, signaling potential illicit attempts to acquire goods or services, manipulate returns, or compromise customer accounts. Understanding these common causes is crucial for effective detection and prevention.

****2.1 Transaction-Based Fraud Indicators****

These alerts typically flag suspicious patterns related to purchases:

- * ****Unusual Purchase Patterns:****
 - * First-time customer with a high-value order (e.g., above \$500 USD).
 - * Multiple purchases of high-demand, easily resold items (e.g., electronics, designer goods).
 - * Unusually large quantity of a single SKU.
 - * Multiple small-value purchases in rapid succession, often testing stolen card validity.

* **Suspicious Payment Information:**

- * Billing address significantly different from the shipping address, especially for high-risk items.
- * Multiple payment attempts with different cards for the same order or customer account.
- * Use of international IP addresses with domestic shipping addresses (or vice-versa).
- * Frequent use of gift cards, particularly for high-value orders or when combined with other suspicious indicators.
- * Declined transactions followed by a successful one with a different card.

* **Shipping & Fulfillment Anomalies:**

- * Shipping to freight forwarders, P.O. boxes, or vacant properties.
- * Requests for expedited shipping on first-time, high-value orders.
- * Changes to shipping address post-purchase without adequate verification.

2.2 Identity & Account-Based Fraud

These alerts often involve unauthorized access or impersonation:

* **Account Takeover (ATO):**

- * Unauthorized changes to customer account details (e.g., email, password, shipping address).
- * Orders placed from a customer account with a new shipping address or payment method.
- * Suspicious login attempts from unusual geographic locations or devices.

* **Stolen Credit Card/Debit Card Usage:**

- * Transactions flagged by payment processors or banks as potentially fraudulent.
- * High decline rates for specific card numbers or card ranges.

* **"Friendly Fraud" (Chargeback Abuse):**

- * Customers claiming non-receipt of goods or services when they actually received them.
- * Customers claiming goods were "not as described" to force a refund after using the product.
- * This is often identified post-transaction, during chargeback disputes.

2.3 Returns & Refund Fraud

Alerts related to manipulation of the returns process:

- * **Wardrobing:** Purchasing items, using them once (e.g., for an event), and then returning them.
- * **Fake Returns:** Returning counterfeit items or empty boxes instead of original merchandise.
- * **Employee Collusion:** Store associates assisting in fraudulent returns or unauthorized discounts.
- * **"Returnless" Refunds:** Customers falsely reporting damaged or incorrect items to receive a refund without returning the product.

2.4 Gift Card & Loyalty Program Fraud

Alerts concerning the misuse of company-issued value:

- * **Fraudulent Gift Card Acquisition:** Purchasing gift cards with stolen credit cards, then quickly liquidating them.
- * **Unauthorized Gift Card Redemption:** Use of stolen or compromised gift card numbers.
- * **Loyalty Point Abuse:** Exploiting loyalty programs for unauthorized discounts or free merchandise.

SECTION 3 — STEP-BY-STEP RESOLUTION PROCEDURE

This section outlines the detailed procedure for handling fraud alerts from initial detection through resolution, ensuring thoroughness and compliance.

3.1 Alert Generation & Notification

1. System-Generated Alerts:

* **E-commerce Fraud Detection System (FDS):** Automatically flags online orders based on predefined rules (e.g., AVS/CVV mismatch, high-risk IP, velocity rules, geo-location anomalies). These alerts are routed directly to the E-commerce Fraud Analyst queue in the Order Management System (OMS) or dedicated fraud platform (e.g., Signifyd, Riskified).

* **Point-of-Sale (POS) System:** Triggers alerts for suspicious in-store transactions (e.g., multiple declined cards, unusual return patterns, large cash transactions requiring Manager override). These alerts are immediately visible to the Store Manager or Supervisor.

* **CRM/OMS System:** Flags customer accounts or order histories based on past suspicious activity or blacklisted information.

* **Payment Processor Gateways:** Notifies of high-risk transactions or potential chargeback warnings.

2. Manual/Human-Generated Alerts:

* **Store Associate Observation:** In-store personnel identify suspicious behavior (e.g., customer appearing nervous, attempting multiple card swipes, unusual item selection for a given customer profile). The associate must immediately inform their Store Manager/Supervisor.

* **Customer Service Inquiries:** Customers report unauthorized transactions on their accounts or express concern about suspicious communications. These are logged in the Customer Relationship Management (CRM) system and escalated to the appropriate fraud handling team.

* **Loss Prevention Monitoring:** LP personnel identify suspicious patterns via CCTV, data analysis, or internal reporting.

3.2 Initial Assessment & Data Gathering

1. **Retrieve Alert Details:** Access the alert within the relevant system (FDS, OMS, POS, CRM).

2. **Review Transaction Information:**

* **Order Details (Online):** Transaction ID, Order Value, Item SKUs and Quantities, Shipping Address, Billing Address, IP Address, Email Address, Phone Number, Payment Method used (last 4 digits of card, payment gateway token), Shipping Method (e.g., Standard, Expedited, BOPIS).

* **Transaction Details (In-Store):** Transaction ID, Items purchased, Payment Method, Time and Date, Associate ID, CCTV footage (if available and relevant).

3. **Cross-Reference Customer Profile:**

* Search the CRM/OMS for the customer's purchase history, loyalty program status, previous interactions, and any existing fraud flags or notes.

* Check for multiple accounts associated with the same address, phone number, or email.

* Verify the customer's current contact information.

4. **External Data Checks (E-commerce Fraud Analysts):**

* Utilize third-party fraud tools for enriched data (e.g., device fingerprinting, email risk scores, phone number validation).

* Perform reverse address/phone number lookups if necessary.

* Check internal blacklists (fraudulent addresses, IPs, emails) and known fraud rings.

5. **Initial Risk Scoring:** Based on the gathered data, assign an initial risk score or categorize the alert (e.g., Low, Medium, High Risk).

3.3 Customer Contact (If Applicable & Safe)

* **Principle:** Contacting the customer is for verification and security purposes, not accusation. Always maintain a professional, empathetic, and non-confrontational tone.

* **When to Contact:** Typically for medium-to-high risk online orders where other data is inconclusive, or for in-store transactions where a clear error or misidentification might have occurred.

* **Method:**

1. **Telephone (Preferred for urgency):** Call the phone number on file for the order/account.

* **Scripting Example:** "Hello, my name is [Your Name] from [Company Name]'s Order Verification Team. We're calling regarding your recent order #[Order Number]. To ensure the security of your purchase, we just need to confirm a few details. Could you please verify the last four digits of the card used, or the shipping address for this order?"

* **DO NOT** ask for full credit card numbers, CVV codes, or passwords.

* If the customer is hesitant or sounds suspicious, thank them and inform them the order may be reviewed further or cancelled for security.

2. **Email (For non-urgent or unresponsive phone attempts):** Send a professional email from an official company address.

* **Subject Line Example:** "Important: Action Required Regarding Your Recent [Company Name] Order #[Order Number]"

* **Body Example:** "Dear [Customer Name], Our team is reviewing your recent order #[Order Number] placed on [Date]. To ensure the security of your purchase and prevent any unauthorized activity, we require further verification. Please contact us at [Direct Phone Number] or reply to this email with confirmation of [specific, non-sensitive detail, e.g., the last four digits of the payment method used, or the exact shipping address you provided]. Your order is currently on hold until this verification is complete. We apologize for any inconvenience."

* **No Contact/Unverifiable:** If after multiple attempts (e.g., 2 phone calls, 1 email over 24 hours), the customer cannot be reached or cannot verify the information, proceed to 3.4.3.

3.4 Decision & Action

1. **If Verified Legitimate (Low Risk / Customer Verified):**

* **Action:** Release the order for fulfillment (online) or complete the transaction (in-store).

* **System Update:** Remove any fraud flags in the FDS/OMS/POS. Update customer notes in CRM confirming verification.

* **Customer Notification:** If the customer was contacted, inform them that their order has been approved and is proceeding.

* **Learning:** Review rules that triggered the alert; adjust if too sensitive and generating false positives.

2. **If Verified Fraudulent (High Risk / Customer Not Verified / Strong Indicators):**

* **Action:**

* **Online Orders:** IMMEDIATELY cancel the order in the OMS. If funds were captured, process a full refund.

* **In-Store (Post-transaction discovery):** If merchandise has left the store, initiate an internal LP investigation. If the transaction is still active, void it.

* **In-Store (Pre-transaction identification):** Politely decline the transaction, stating "We are unable to complete this transaction at this time. Please try another payment method or contact your card issuer." Do not accuse.

* **System Update:**

* Permanently flag the associated customer account, email address, IP address, shipping address, and payment method in the FDS/OMS/CRM as fraudulent. Add to internal blacklists.

* Log all details of the fraudulent activity.

* **Customer Notification (Online):** Send a generic cancellation email stating the order was cancelled due to "security concerns" or "unverifiable details" without disclosing specific fraud accusations.

* **Escalation:** Refer to Section 4. If high value or part of a larger scheme, escalate to Loss Prevention and potentially law enforcement.

3. **If Unverifiable / No Customer Contact / Insufficient Information:**

* **Action:** Default to cancelling the order if the risk score remains high. A high-risk order with no successful customer contact poses an unacceptable chargeback risk.

* **Hold Period (Optional, for medium-risk only):** For borderline cases, place the order on hold for a maximum of 24-48 hours. If no verification is achieved within this timeframe, proceed with cancellation.

* **System Update:** Log the decision and rationale. Flag associated details for monitoring.

* **Customer Notification:** Send a generic cancellation email.

****3.5 Documentation****

1. **Case Logging:** For every fraud alert, create or update a detailed case log in the FDS, OMS, or dedicated case management system.

2. **Required Information:**

* Alert ID / Transaction ID

* Date and Time of Alert

* Source of Alert (System/Manual, specific rule triggered)

- * Detailed findings from assessment (IP, addresses, customer history, etc.)

- * Summary of customer contact attempts (date, time, method, outcome)

- * Final decision (Approved, Cancelled, Refunded, On Hold)

- * Reasoning for the decision

- * Actions taken (e.g., flags added, refund processed)

- * Name/ID of the employee handling the alert.

3. **Evidence Retention:** Securely store any supporting documentation, such as screenshots of transaction details, customer communication, or CCTV footage. This is critical for chargeback disputes.

3.6 Post-Resolution Follow-up (Chargebacks)

1. **Chargeback Notification:** Upon receipt of a chargeback notification from the payment processor, the Finance Department or dedicated chargeback team is immediately informed.

2. **Documentation Retrieval:** All documentation from Section 3.5 related to the disputed transaction is retrieved.

3. **Dispute Response:** The team compiles a robust response package, including:

- * Proof of Delivery (tracking information, signature confirmation).

- * Customer communication logs (emails, call notes).

- * Fraud alert resolution details (if initially flagged and approved).

- * Terms and Conditions signed by the customer.

- * Any other relevant evidence to dispute the chargeback.

4. **Learning:** Analyze chargeback reasons to refine fraud prevention rules and operational procedures.

SECTION 4 — ESCALATION CRITERIA

Not all fraud alerts can be resolved at the initial assessment level. This section defines the criteria for escalating alerts and outlines the appropriate escalation paths.

4.1 Automatic Escalation Criteria

An alert or incident **must** be immediately escalated to the next tier under any of the following circumstances:

* **High-Value Transactions:** Any single transaction exceeding a predefined threshold (e.g., \$5,000 USD).

* **Organized Retail Crime (ORC):** Suspected involvement of multiple individuals, large-scale coordinated theft, or repeated fraudulent activity across multiple locations/channels.

* **Direct Threat/Aggression (In-Store):** If a customer suspected of fraud becomes aggressive, threatening, or attempts to flee. Store management MUST prioritize employee and customer safety.

* **Account Takeover (ATO) with Broader Implications:** Evidence of a potential data breach, large-scale account compromises, or the compromise of multiple customer accounts.

* **Repeated Fraud Flags:** A customer account or payment method generates multiple high-risk alerts within a short period, even if individual transaction values are lower.

* **Legal or Public Relations Sensitivity:** Incidents with potential legal ramifications, involvement of law enforcement, or significant reputational risk to [Company Name].

* **Systemic Failure:** Suspected malfunction or circumvention of the fraud detection system itself.

* **Employee Collusion:** Any suspicion of an employee being involved in or facilitating fraudulent activities.

4.2 Escalation Paths

1. **Tier 1 – Initial Handler:**

* **E-commerce Fraud Analyst:** Handles standard online fraud alerts.

* **Store Manager/Supervisor:** Handles in-store alerts and initial BOPIS/Click & Collect discrepancies.

* **Customer Service Representative:** Handles customer-reported fraud or suspicious account activity.

* **Action:** Conduct initial assessment, data gathering, and customer contact per Section 3. If criteria for escalation are met, immediately escalate.

* **Escalates To:** Tier 2.

2. **Tier 2 – Advanced Review & Investigation:**

* **Loss Prevention Manager (Regional/District):** For ORC, high-value in-store incidents, or incidents involving employee collusion.

* **Head of E-commerce Operations / Senior Fraud Analyst:** For complex online fraud cases, significant ATO incidents, or persistent chargeback issues.

* **Action:** Conduct in-depth investigation, liaise with external partners (e.g., payment processors, local law enforcement where appropriate), review security footage, and make final high-risk decisions.

* **Escalates To:** Tier 3.

3. **Tier 3 – Executive Oversight & Legal/IT/PR Involvement:**

* **Director of Loss Prevention / Chief Operating Officer (COO):** For enterprise-wide fraud schemes, significant financial losses, or matters requiring executive decision-making.

* **General Counsel / Legal Department:** For incidents requiring legal action, reporting to federal law enforcement, or managing complex legal risks.

* **Chief Information Officer (CIO) / IT Security:** For suspected system breaches, widespread account compromises, or vulnerabilities in fraud detection infrastructure.

* **Marketing & Communications / PR Department:** For incidents with significant public relations implications.

* **Action:** Develop strategic responses, approve major policy changes, authorize significant investments in fraud prevention, and manage external communications.

4.3 Escalation Communication

When escalating an alert, the initiating party **MUST** provide:

* A clear and concise summary of the incident.

* The reason for escalation, referencing specific criteria from Section 4.1.

* All available documentation, logs, and evidence gathered thus far.

* Contact information for the customer (if applicable and safe to share).

* Recommendations for further action (if any).

* This information should be communicated via the designated internal incident management system or secure email, followed by a direct phone call for urgent matters.

SECTION 5 — PREVENTION TIPS

Proactive fraud prevention is as critical as reactive alert handling. Implementing robust systems, policies, and continuous training helps reduce the incidence of fraud across all retail channels.

5.1 Technology & Systems Enhancements

* **Advanced Fraud Detection Systems (FDS):** Invest in and regularly update FDS that utilize machine learning, AI, and rule-based engines for real-time transaction analysis across all channels.

* **Real-time Transaction Monitoring:** Implement systems that monitor purchases and returns for suspicious patterns, velocity, and anomalies.

* **Multi-Factor Authentication (MFA):** Require MFA for sensitive customer account actions (e.g., password changes, shipping address modifications, high-value redemptions of loyalty points).

* **Address Verification System (AVS) & Card Verification Value (CVV):** Enforce mandatory AVS and CVV checks for all online credit card transactions. Decline transactions with significant mismatches.

* **Device Fingerprinting:** Employ technology to identify and track devices used for online transactions, linking suspicious activity to specific devices.

* **Geo-IP Analysis:** Block or flag transactions originating from high-risk IP addresses or VPNs inconsistent with shipping locations.

* **Tokenization & Encryption:** Utilize payment tokenization and end-to-end encryption for all sensitive payment data to protect against data breaches.

* **Regular System Audits & Penetration Testing:** Conduct routine security audits and penetration tests on all retail systems to identify and remediate vulnerabilities.

****5.2 Policies & Procedures Reinforcement****

* **Clear & Enforceable Return Policies:**

* Require receipts for all returns or verifiable purchase history.

* Implement limits on returns without a receipt.

* Require original packaging and tags for full refunds.

* Monitor high-frequency returners.

* **Strict Gift Card Protocols:**

* Activate gift cards at the POS only upon successful payment.

* Do not accept gift cards as payment for other gift cards.

* Implement daily limits on gift card purchases.

* **Robust BOPIS/Click & Collect Verification:**

* Require photo ID and the payment card used for purchase at pickup.

- * For third-party pickups, require prior authorization from the original purchaser and valid ID from the picker.

- * **Employee Discount & Refund Procedures:**

- * Strict controls and managerial approval for employee discounts and all refunds/voids, especially those above a defined threshold.

- * Regular audits of associate-level transactions.

- * **Data Privacy & Security Training:** Ongoing mandatory training for all employees on PCI-DSS compliance, GDPR/CCPA, data handling best practices, and phishing awareness.

- * **Blacklists & Whitelists:** Maintain and regularly update internal blacklists of known fraudulent customers, addresses, IPs, and payment methods. Consider whitelisting trusted, frequent customers.

- 5.3 Customer Education**

- * **Security Best Practices:** Educate customers on creating strong, unique passwords, using MFA, and recognizing phishing attempts related to their accounts.

- * **Secure Shopping Tips:** Provide information on safe online shopping habits, verifying legitimate company communications, and protecting personal information.

- * **Reporting Suspicious Activity:** Encourage customers to report any unauthorized account activity or suspicious communications immediately to [Company Name]'s Customer Service.

- 5.4 Internal & External Collaboration**

- * **Cross-Departmental Fraud Meetings:** Regularly scheduled meetings between LP, E-commerce, Store Operations, Customer Service, and Finance to share insights, review incidents, and refine prevention strategies.

- * **Law Enforcement Engagement:** Foster strong relationships with local and federal law enforcement agencies for reporting organized retail crime and serious fraud incidents.

- * **Industry Peer Networks:** Participate in industry forums and associations to share best practices, intelligence on emerging fraud trends, and collaborate on solutions with other retailers.

- * **Payment Processor Partnership:** Work closely with payment processors to understand new fraud trends, optimize risk rules, and improve chargeback representment success rates.

By diligently applying the procedures and prevention tips outlined in this SOP, [Company Name] can significantly reduce its exposure to retail fraud, protect its assets, and ensure a secure and trusted environment for its customers and employees.